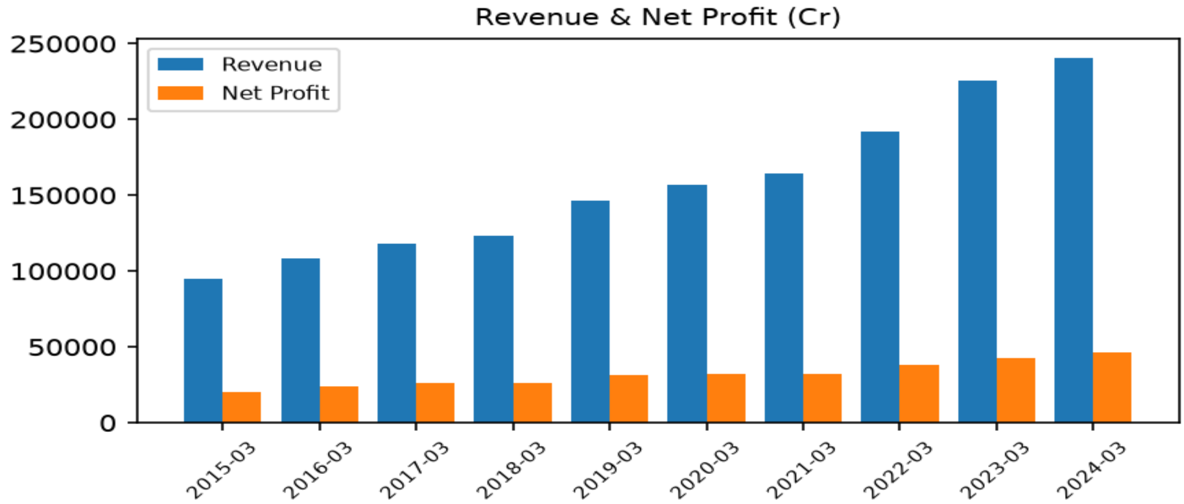
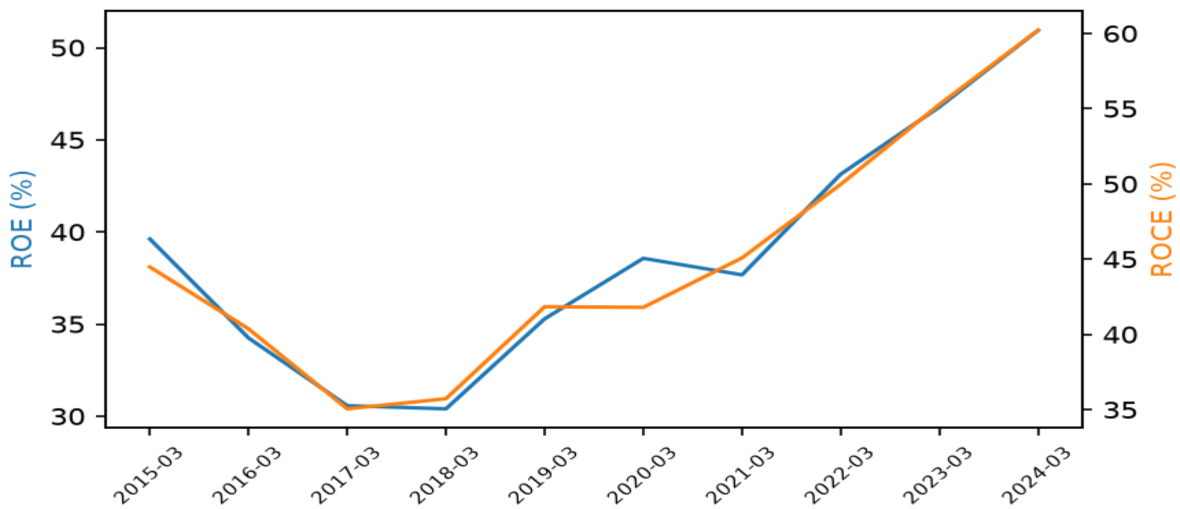
Tata Consultancy Services Ltd (TCS)

ROE 50.9%	**ROCE** 60.2%	**Net Profit Margin** 19.1%
D/E 0.1	**Revenue CAGR 5yr** 10.5%	**Free Cash Flow (Cr)** 50429.0

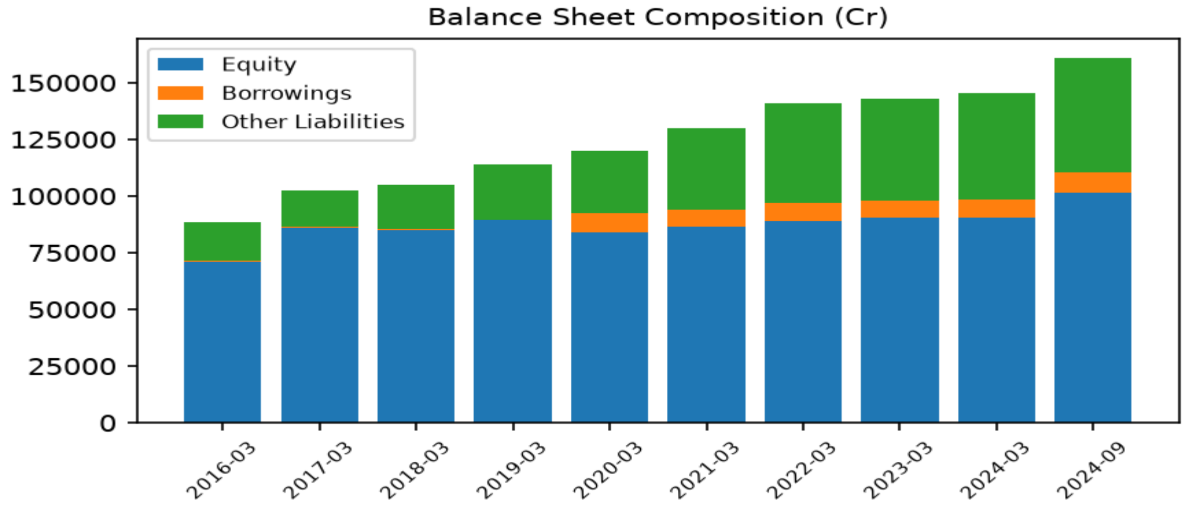
Revenue & Net Profit (10yr)



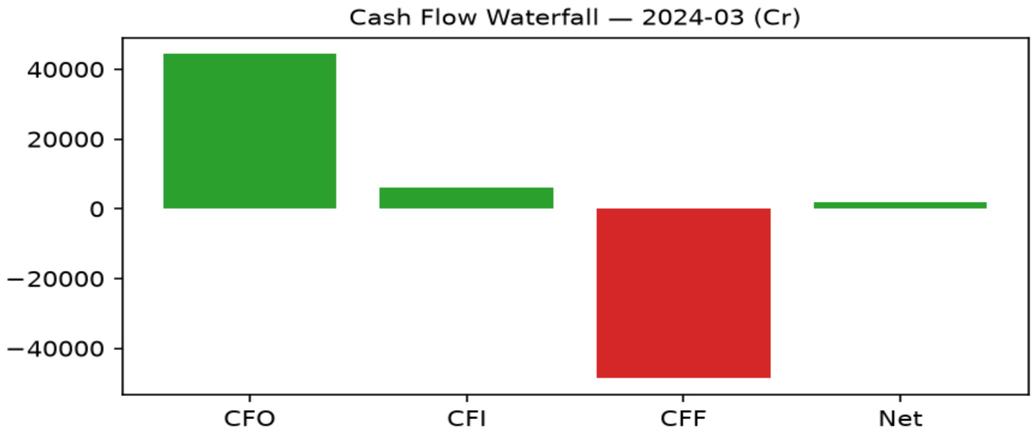
ROE & ROCE (10yr)



Balance Sheet Composition



Cash Flow (Latest Year)



Pros

✓ Consistently high return on equity above 20% demonstrates exceptional capital efficiency
✓ Strong free cash flow generation over 5 years signals healthy business fundamentals
✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing
✓ Consistent dividend yield above 2% backed by positive free cash flow
✓ Return on equity improving for 3 consecutive years shows strengthening business quality
✓ Return on equity of 50.9% reflects the company's baseline capital efficiency.

Cons

✗ Debt-to-equity of 0.09 is a general leverage level worth monitoring alongside sector peers.

Capital Allocation: Liquidating Assets